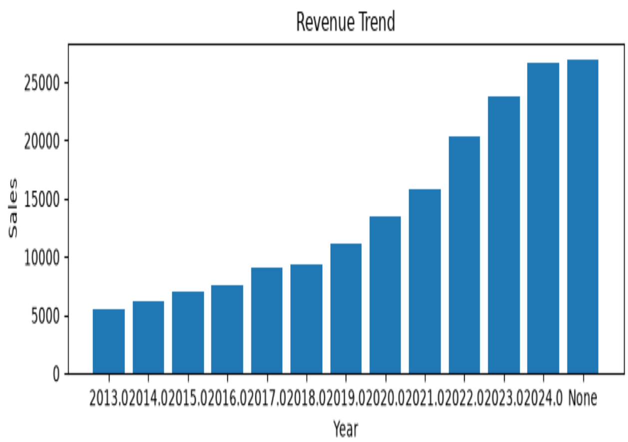
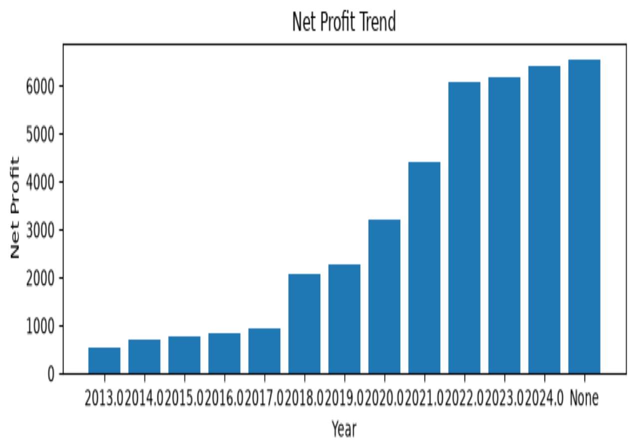
Indian Railway Finance Corporation Ltd

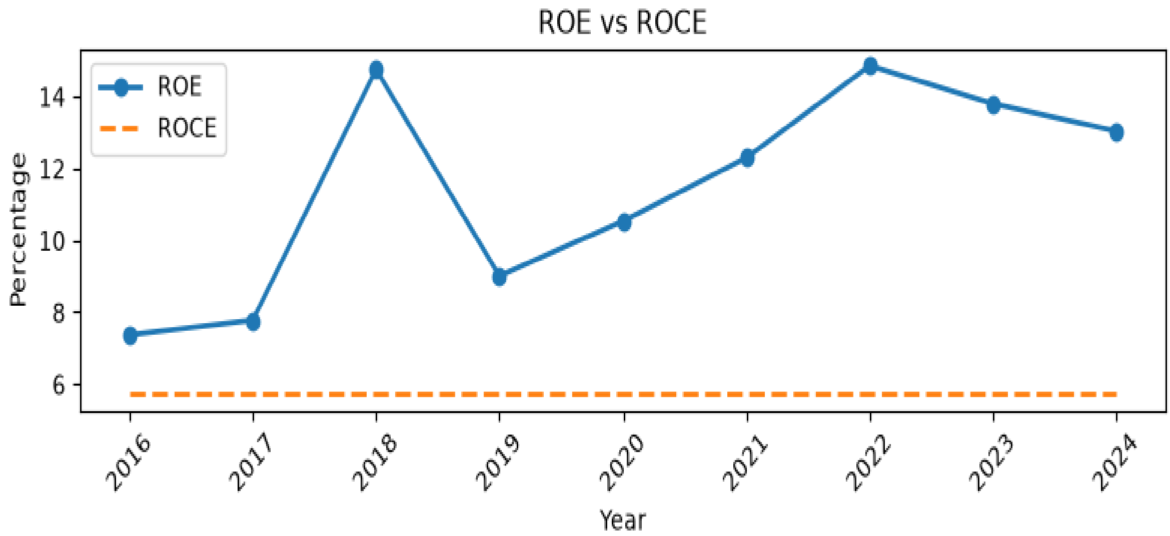
Investment Summary

Overall Rating	★■■■■
Quality Score	31/100
Financial Health	Weak
Capital Allocation	Shareholder Returns
Recommendation	AVOID

10 Year Financial Trends







Capital Allocation Pattern

Shareholder Returns

ROE	13.04%
ROCE	5.73%
NPM	24.06%
OPM	99.50%
D/E	8.38
EPS	5.00

Pros

• Operating profit margin above 25% indicates strong pricing power and cost discipline.

• Net profit compounding at above 20% over 5 years creates significant shareholder value.

• Consistent dividend payout backed by positive free cash flow reflects strong cash generation.

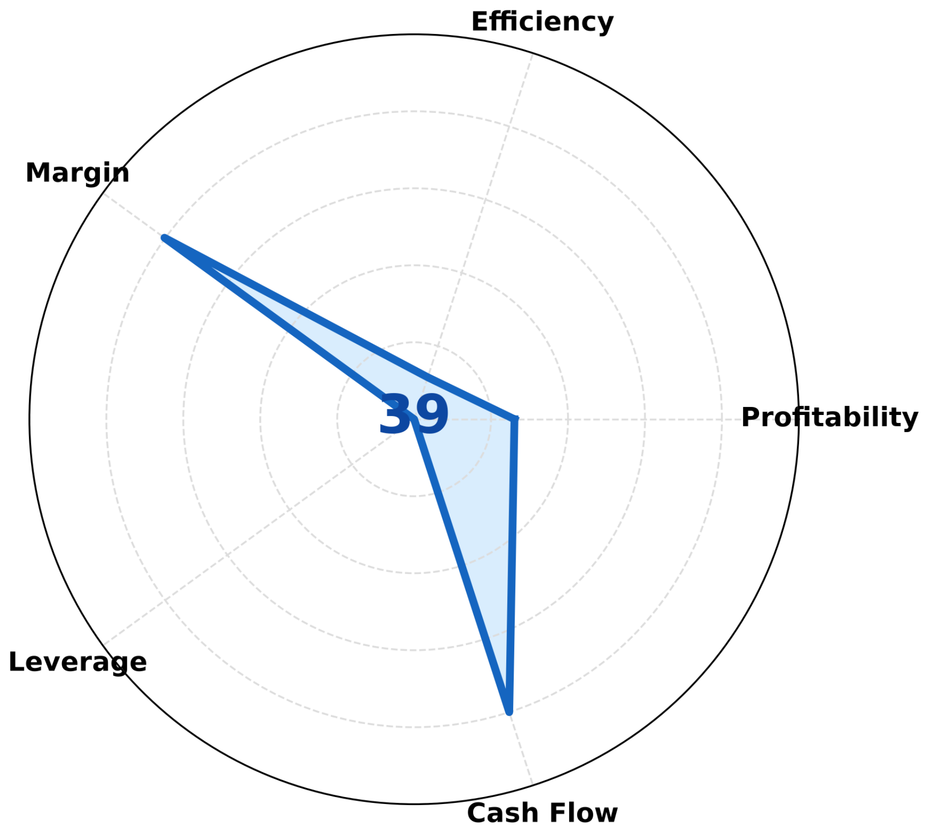
• Revenue growing slower than profits shows improving operating leverage and scale benefits.

Cons

• Debt-to-equity ratio of 8.38 is elevated and warrants monitoring.

• Interest coverage ratio below 1.5x indicates the company may struggle to meet debt obligations.

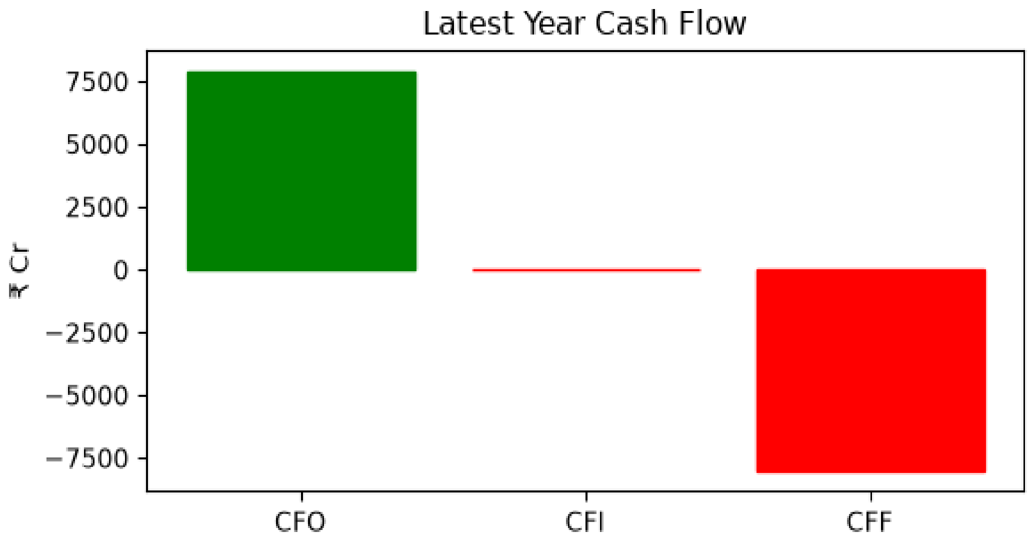
Financial Strength Radar



Peer Comparison

Rank	Company	ROCE	ROE	NPM	D/E
1	**REC Ltd**	**10.00%**	**22.20%**	**29.77%**	**6.42**
2	Power Finance Corporation Ltd	9.96%	19.49%	28.92%	8.52
3	**Indian Railway Finance Corporation Ltd**	**5.73%**	**13.70%**	**24.06%**	**8.38**

Cash Flow Analysis



Stock Price Performance

Valuation Dashboard

Market Cap	■ 2,618,349 Cr
PE Ratio	9.81
PB Ratio	3.91
Dividend Yield	2.82%
Valuation	Undervalued